

Growth vs. Cash Flow: Preparing for the Bank

Module 5, Part 3 (December 4)

QBA 5330

What the Bank Actually Wants to Know

- Not: “will revenue keep growing?” (Part 2 already answered: yes, comfortably)
- Actually: **growth prospects *and* cash-flow projections**
- **Revenue growth and cash-flow health are not the same question.**

Two Loan Covenants

- Long-term debt cannot exceed $3.25 \times \text{EBITDA}$
- EBITDA must be at least $2.0 \times$ fixed financial charges (interest + lease rentals)

Computing Both, Live

```
1 ebit_2006 <- 3018; da_2006 <- 669
2 ebitda_2006 <- ebit_2006 + da_2006
3 ebitda_2006
```

```
[1] 3687
```

```
1 interest_2006 <- 658; lease_rentals <- 965
2 fixed_charges <- interest_2006 + lease_rentals
3 coverage_ratio <- ebitda_2006 / fixed_charges
4 coverage_ratio
```

```
[1] 2.271719
```

Two Very Different Pictures

```
1 current_debt <- 9000
2 max_allowed_debt <- 3.25 * ebitda_2006
3 c(max_allowed = max_allowed_debt, headroom = max_allowed_debt - current_debt)
```

max_allowed	headroom
11982.75	2982.75

- Debt cap: ~25% headroom
- Coverage ratio: 2.27x vs. 2.0x minimum – only ~14% cushion

Activity: Is Growth Financially Sustainable?

Using the 2007 scenarios from Part 2 and the covenant numbers above:

Report-Outs

Does your recommendation address the coverage-ratio cushion specifically, or just “pursue the optimistic scenario”?

Module 5 Wrap-Up

What this module added:

- The full forecasting toolkit (naive → regression-based)
- Formal accuracy and forecast-interval concepts
- Scenario analysis – applied to a real financing decision

Looking Ahead to Tomorrow (12/5)

From prediction (“what’s likely to happen?”) to prescription (“what should we do, given real limits on resources?”).

Next: Module 6, the Petro Refinery case.